MANDAR DEODHAR



THE LONG GAME

The US buys nearly half of India's toy exports, so the picture is not a happy one. But the big exports for X'mas are shipped, and newer markets beckon

By SONAL KHETARPAL

The Fallout: India exported toys worth $79 million (Rs 695 crore) to the US in FY25. This accounts for 47 per cent of India's global toy exports. Therefore, the 50 per cent tariffs have landed these exports in grave uncertainty, with job losses a possibility for some of the estimated three million people who work in the sector.

INDIA'S EXPORTS TO THE US
$79 million
(₹695 crore)

Ajay Aggarwal, president of the Toy Association of India, says the uncertainty will make it difficult for companies to frame business plans. "The 25 per cent extra duty [over and above 25 per cent] will be shared across stakeholders—including manufacturers, who will squeeze their margins, the US consumer, who will pay more, and possibly some government subsidy," he explains. Most of the orders for this year, which peak during Christmas and New Year, have been shipped. But new orders placed from September onwards will be impacted, as queries have stopped coming in for the last two months, Aggarwal says.

The Competitors: "With a 50 per cent tariff on Indian toys in the US, any drop in numbers from here will largely be replaced by toys from China, which dominates the global toy trade with an 80 per cent share—mainly "because of their ability to manufacture everything, from simple building blocks and dolls to complex and sophisticated educational toys," says Ajay Srivastava, founder, Global Trade Research Initiative. "India's toy sector is still in its infancy and innovation is limited. India focuses on low-end toys such as soft toys, wooden toys, and educational puzzles, but high-end, design-led toys are missing," he adds.

Newer Markets: Business from the US will not go down to zero and will still comprise 20-30 per cent of Indian toy exports, says Aggarwal. Toymakers will also explore markets—Australia, New Zealand, West Asia, Russia and Indonesia—that have not been tapped yet by Indian players. ■

CASE STUDY

DHVANIL SHETH, 35

Founder & CEO, Skillmatics, Mumbai

Annual turnover: **₹491 crore** ***(FY 25)***

No. of employees: **250**

Revenues generated from the US
₹300-350 crore ***(FY 25)***

Likely loss due to the tariffs
Undisclosed

Indian toys will no longer be competitive for American buyers. But we're hoping that this is only a short-term situation," says Dhvanil Sheth, founder and CEO of Mumbai-based educational toys and games company Skillmatics.

About 50 per cent of the firm's revenue comes from the US, making it the top market among the 30 countries where it has a presence. All existing orders have been dispatched at earlier tariff rates, but anything new will attract a 50 per cent tariff. Since tariffs are imposed on the manufacturing cost, it will also increase cost for US buyers. "To maintain existing relationships, we will also have to bear some of that cost, which will impact margins," Sheth explains. However, he adds that since Skillmatics makes unique products, they enjoy better margins than generic toymakers. Skillmatics doesn't anticipate a revenue hit, says Sheth, but its margins may reduce. ■